Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · RHP

M. K. Sons Fine Jewels Limited

Mainboard · Jewellery retail (Mumbai and Ahmedabad) · filed 2026-05-20 · lead manager(s): Aryaman Financial Services Limited · issue size Rs 275 cr · price band: Rs 153-162 · analysed 2026-10-29

CALL

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BUSINESS STAGE

Early scaling (5 showrooms, expanding with issue-funded inventory)

A fast-growing Mumbai-Ahmedabad jewellery retailer (5 showrooms; FY26 revenue Rs 539 cr, PAT Rs 51.8 cr, 15% EBITDA margin) raising Rs 220 cr of fresh money to stock new showrooms, priced at 17.6x FY26 earnings against a 22x peer median; fair value Rs 149 (Subscribe, close to the line) because inventory-heavy growth still leaves thin free cash flow.

Revenue FY26 **₹539 cr** CAGR FY24-FY26: **57.5%**	PAT FY26 **₹52 cr** CAGR FY24-FY26: **151.8%**	EBITDA margin **15.4%** FY24: **5.9%**	Cash conversion (CFO / PAT, 3 yrs) **-21.3%**
Cash tax rate (3 yrs) **–**	P/E at reference (post-issue) **17.6x** peer median: **21.9x**	Adjusted P/E (earnings quality) **17.6x** reported: **17.6x**	Blended value (Neutral) **₹148.79** vs reference: **-8.2%**
Reference price **₹162** Upper band Rs 162 (NSE issue page). At Rs 162: market cap Rs 911.9 cr post-issue; P/E 17.6x on FY26 PAT (13.4x pre-issue on the company's EPS of Rs 12.13); P/B 2.35x post-issue; EV/EBITDA 9.2x FY26. Objects floor Rs 133.46.			

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For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

CALL

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STAGE

Mainboard · RHP

A fast-growing Mumbai-Ahmedabad jewellery retailer (5 showrooms; FY26 revenue Rs 539 cr, PAT Rs 51.8 cr, 15% EBITDA margin) raising Rs 220 cr of fresh money to stock new showrooms, priced at 17.6x FY26 earnings against a 22x peer median; fair value Rs 149 (Subscribe, close to the line) because inventory-heavy growth still leaves thin free cash flow.

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Basis. A book-built issue of **1,70,00,000 shares**: a **fresh issue of 1.36 crore shares** and an **offer for sale of 34 lakh shares** by promoter Ramchand Raimalani. Price band **Rs 153-162**, lot 91 shares (Rs 14,742 at the upper band); bid/issue **28-Oct to 30-Oct-2026**; NSE and BSE; sole BRLM Aryaman Financial Services; registrar Bigshare Services (NSE issue page, read 26-Oct-2026). At Rs 162 the issue is **Rs 275.40 cr** (fresh

> Rs 220.32 cr, OFS Rs 55.08 cr). **The RHP could not be read:** it sits on an NSE archive host this environment cannot reach. Business, governance and FY24-25 / 9M FY26 detail are from the **DRHP dated 11-May-2026** (SEBI filing 101528); printed page numbers are cited (printed page = PDF page - 5).
>
> **Updated 29-Oct-2026 with FY26 results from the RHP.** The RHP carries restated results to **31-Mar-2026**: revenue **Rs 538.73 cr**, EBITDA **Rs 82.93 cr** (15.39%), PAT **Rs 51.79 cr**, net worth **Rs 168.01 cr**, borrowings **Rs 68.44 cr**, operating cash flow **Rs 15.40 cr**, diluted EPS **Rs 12.13**. These are taken from IPO trackers that reproduce the RHP (Finology, INDmoney, Paytm Money, Kotak Neo), cross-checked against each other: PAT / EPS gives 4.27 crore shares, the full pre-issue count. The valuation now uses FY26 actuals instead of 9M FY26 annualised, which lifted fair value and moved the call from Neutral to **Subscribe**. FY26 working capital, cash and D&A are not in the tracker data and are estimated (labelled).
>
> Judged at the **upper band, Rs 162**. Holding period assumed: 2-3 years. Grey market premium is not used. Written from an investor's point of view under the Fund's standing rules.

1. Business of the company

- **What it does:** a regional jewellery retailer selling gold, diamond and CZ jewellery through its own showrooms; it buys finished jewellery from third-party manufacturers in Maharashtra and Gujarat rather than making it (pp. 156-157).
- **Footprint:** five leased showrooms, three in Mumbai and two in Ahmedabad, 6,513 sq ft in all (p. 91). The two Ahmedabad showrooms opened in FY24 and gave 62.40% of 9M FY26 revenue (77.17% in FY25) (pp. 21, 23).
- **Range:** more than 17,452 SKUs (13,322 gold designs, 4,130 diamond and stone designs) across 11 collections, from about Rs 11,000 upwards; bridal and daily wear (p. 157).
- **History and structure:** the promoter has sold jewellery since 1999 through his proprietorship, M. K. Sons Jewellers. The company (incorporated 2012) took over that business on 29-Mar-2025 under a business succession agreement, in exchange for 40,38,152 shares valued at Rs 71.07 cr (pp. 156, 189). The full-year effect of the merger therefore shows only from FY26.

Stage of the business

Classification: early scaling.

Evidence	Reading
Revenue Rs 24.91 cr (FY23) → Rs 217.32 cr (FY24) → Rs 351.28 cr (FY25); Rs 360.82 cr in 9M FY26	Rapid growth from new Ahmedabad showrooms and the merger
EBITDA margin 5.92% (FY24) → 10.98% (FY25) → 13.36% (9M FY26)	Scale and gold prices lifting margins
Inventory Rs 44.81 cr → Rs 240.59 cr (Dec-25); inventory days 205	Growth needs heavy stock
Issue funds Rs 151.51 cr of inventory for a new Maharashtra showroom and a bigger Ahmedabad showroom in FY27	The next leg is capital-funded

2. Industry outlook

Industry figures come from the CareEdge report commissioned and paid for by the issuer (p. 156); we have not checked them independently.

- **Market:** gems and jewellery are about 7% of India's GDP and 15% of merchandise exports; domestic jewellery demand is driven by weddings, festivals and gold's role as savings (pp. 111 onwards, 156).
- **Shift to organised retail:** hallmarking (BIS), GST and consumer preference for trusted brands are moving share from unorganised jewellers to organised chains, regional and national (p. 111 onwards).
- **Gold price:** high gold prices raise ticket sizes and the value of inventory, but can cut volumes; small retailers usually do not hedge (p. 143 onwards).
- **Competition:** national chains (Tanishq, Kalyan, Malabar, Senco) and strong regional players; listed peers named are Motisons, Tribhovandas Bhimji Zaveri, Senco Gold and PNGS Reva (p. 100).
- **Read for an investor:** a large, formalising market where regional players can grow by adding stores, but returns depend on inventory turns and the gold cycle.

3. Moat and SWOT analysis

Moat

- **Local brand and trust** in Mumbai (Bandra) and Ahmedabad (C. G. Road), built since 1999 (p. 156).
- **Asset-light sourcing:** buying finished pieces from many vendors keeps capital in stock rather than factories (p. 157).
- **Limits:** five stores, two cities and a promoter-family business; there are no structural barriers against national chains.

STRENGTHS	WEAKNESSES
• Revenue up from Rs 24.91 cr to Rs 351.28 cr in two years (p. 227) • EBITDA margin 13.36% and ROCE 26.84% in 9M FY26 (p. 101) • 17,452-SKU hallmarked range (p. 157) • Debt/equity 0.50x before the issue (p. 101)	• Five showrooms; Ahmedabad 62.40% of revenue (p. 23) • Inventory days 205; negative CFO FY23-25 (pp. 101, 228) • Short history as a combined entity (p. 189) • Young board; promoter family about 100% pre-issue (pp. 65-66, 78)
OPPORTUNITIES	**THREATS**
• New Maharashtra and expanded Ahmedabad showrooms in FY27 (p. 91) • Shift to organised hallmarked jewellery (p. 111 onwards) • Higher-margin diamond jewellery (p. 157)	• Gold price falls (p. 143 onwards) • National chains in Mumbai and Ahmedabad (p. 100) • Seasonal demand (p. 22)

4. Management analysis and governance

- **Board (six, pp. 65-66):** Ramchand Raimalani (Chairman and MD), Neelam Raimalani and Kush Raimalani (Whole-time Directors), and three independent directors (Aakash Keshari, Luke Fernandez, Shrenik Shah), appointed in FY26.
- **Ownership:** promoter family about 100% before the issue (Ramchand Raimalani 96.25%, Neelam Raimalani 3.75%) (p. 78). After the fresh issue and OFS the family would hold about 69.8% (our

computation).

- **Cost to promoters:** the weighted average cost of shares acquired in the last 18 months is Rs 35.20; shares issued for the business transfer were valued at Rs 176 before the bonus issues (pp. 75, 84).
- **Pay:** Rs 1.65 cr a year to the three promoter directors at the FY26 rate; none was paid before FY25 (pp. 64, 195).
- **Related parties:** FY25 purchases of Rs 21.52 cr from the promoter's proprietorship before it was merged in; promoter loans (Rs 1.52 cr at Dec-25, down from Rs 12.35 cr at Mar-24); rent to the promoter for showrooms (Rs 1.23 cr in 9M FY26); purchases from promoter-group company Spicy Sangria Hotels (p. 64).
- **Litigation:** no criminal or regulatory cases. Income-tax matters for AY 2012-13 (Rs 1.64 cr) and others, and contingent income-tax demands of Rs 4.995 cr (pp. 63, 319).
- **Read:** a founder-run family business that has just formalised its structure: it merged the proprietorship, converted to a public company in Jan-2026 and added independent directors. Governance is young; the merger removed the main related-party overlap. None of this is a material issue under the Fund's rules.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs crore	FY23	FY24	FY25	9M FY26	**FY26 (RHP)**
Revenue from operations	24.91	217.32	351.28	360.82	**538.73**
Gross margin (issuer)	20.55%	9.19%	14.51%	17.15%	n.a.
EBITDA (issuer, excl. other income)	2.27	12.87	38.57	48.19	**82.93**
EBITDA margin	9.11%	5.92%	10.98%	13.36%	**15.39%**
Finance cost	0.23	1.41	5.40	5.71	n.a.
PAT	1.34	8.17	23.26	29.17	**51.79**
EPS (Rs, post-bonus)	0.60	3.63	10.26	6.83 (9 months)	**12.13** (diluted)
Cash flow from operations	-4.95	-23.56	-9.53	18.01	**15.40**
Inventory	44.81	87.48	205.70	240.59	n.a.
Inventory days (issuer)	611	122	178	205	n.a.
Borrowings	12.13	38.64	68.93	72.11	**68.44**
Net worth	14.15	22.29	116.24	145.42	**168.01**
ROE (issuer)	9.46%	36.63%	20.01%	20.06% (not annualised)	30.8% (on closing net worth)
ROCE (issuer)	12.89%	40.62%	27.24%	26.84% (not annualised)	n.a.
Debt / equity (issuer)	0.86x	1.73x	0.59x	0.50x	0.41x

Sources: DRHP pp. 101, 226-228; FY26 column from the RHP via trackers (n.a. = not in the tracker data). FY26 EPS of Rs 12.13 is on the full 4.27 crore shares; FY25 EPS of Rs 10.26 is on weighted shares that count the Mar-2025 merger shares for only two days, so it overstates FY25 per-share profit (on 4.27 crore shares FY25 EPS is Rs 5.45). One tracker flags trade receivables of Rs 31.83 cr at 30-Jun-2026 and Q1 FY27 operating cash flow of

about Rs -2.84 cr (single source). FY25 net worth includes Rs 71.07 cr of shares issued for the proprietorship (p. 189).

At the upper band (Rs 162): post-issue shares 5.6291 crore; market cap Rs 911.9 cr. P/E **17.6x on FY26 PAT** (Rs 51.79 cr; 13.4x on pre-issue shares, the figure the company's EPS gives). Post-issue net worth about Rs 388.33 cr, P/B 2.35x; EV about Rs 760 cr (market cap + borrowings Rs 68.44 cr - fresh issue Rs 220.32 cr), 9.2x FY26 EBITDA. At Rs 153: P/E 16.6x.

As disclosed by the company (Basis for Offer Price)

Item	As disclosed
Restated PAT, FY26	Rs 51.79 cr
EPS, FY26 (basic / diluted)	Rs 12.13 / Rs 12.13
P/E at floor price Rs 153 (basic / diluted)	12.61x / 12.61x
P/E at cap price Rs 162 (basic / diluted)	13.36x / 13.36x

Source: RHP Basis for Offer Price as reproduced by IPO trackers (Kotak Neo, Finology; RHP not reachable; provisional). The RHP prints the issuer's P/E as [●] until the price band is fixed; the P/E shown is the band divided by the company's own EPS, the computation the price-band advertisement makes. These are pre-issue, latest-full-year figures; our own P/E elsewhere in this report is on post-issue shares. Trackers report diluted EPS Rs 12.13; basic EPS assumed equal (no dilutive instruments in the DRHP). PAT / EPS = 4.27 crore shares, the full pre-issue count. The RHP's industry peer P/E was not reported by the trackers.

Positives and points to monitor

Positives	Points to monitor
EBITDA margin 15.39% in FY26 (RHP)	Inventory days 205 at Dec-25 (p. 101)
FY26 operating cash flow positive, Rs 15.40 cr (RHP)	CFO far below PAT (Rs 51.79 cr); negative FY24-25 (p. 228)
Objects floor Rs 133.46 below the Rs 153 floor (p. 91)	Ahmedabad 62.40% of revenue (p. 23)
No criminal or regulatory cases (p. 319)	Gold-price exposure unhedged

Is the reported P/E right? Earnings quality at Rs 162

Reported P/E is a fair measure: the adjustments found move FY26 PAT by -0.1%, within the 10% threshold. On the FY24-FY26 average, which smooths one-year items, the P/E is 32.9x reported and 32.9x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY26	51.79	9.2	**17.6x**
FY26 after: deposit interest	51.76	9.2	**17.6x**
FY24-FY26 average, reported	27.74	4.93	**32.9x**
FY24-FY26 average, adjusted	27.71	4.92	**32.9x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Interest on security deposits (Ind AS 116 unwinding, in other income) Notional interest on lease deposits; non-operating and immaterial.	-0.03	-0.03	-0.04	! YES	High	17.6x	p. 228
Promoter directors' pay at the FY26 run-rate No remuneration was paid to the three promoter directors before FY25 (Rs 0.60 cr in FY25); FY26 carries the full Rs 1.65 cr a year. Normalising FY24-25 for it lowers those years' profit; a choice, not an accounting entry. For information.	-1.65	-1.05	0	No (information)	Medium	17.6x	pp. 64, 195
Purchases from the promoter's proprietorship before its merger	0	0	0	No (information)	Low	17.6x	p. 64

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED
Rs 21.52 cr of FY25 purchases came from M. K. Sons Jewellers (promoter's proprietorship) before it was merged in on 29-Mar-2025; pricing is not disclosed, so any effect on margin cannot be quantified. For information.						

Also checked, no adjustment needed

✓ PASS No capitalised costs: no capital work in progress, intangibles negligible (p. 226)

✓ PASS Ind AS processing-fee amortisation (Rs 0.93 cr in 9M FY26) is charged in finance cost (p. 228)

✓ PASS No exceptional items FY23 to 9M FY26 (p. 227)

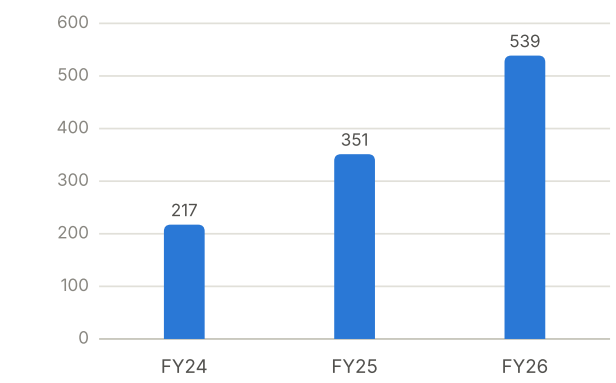
✓ PASS Profit taxed in cash: current tax about 27% of PBT (p. 227)

✓ PASS Gross margin rose from 9.19% (FY24) to 14.51% (FY25) and 17.15% (9M FY26) while gold prices rose; inventory gains cannot be separated from the disclosures (p. 101)

✓ PASS Inventory is not hedged against gold prices (no hedging policy disclosed)

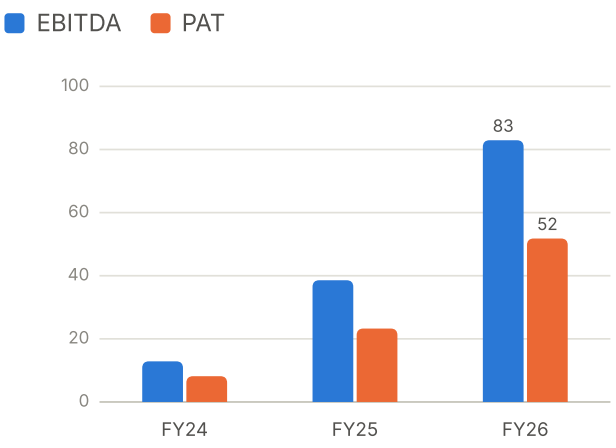
Revenue from operations

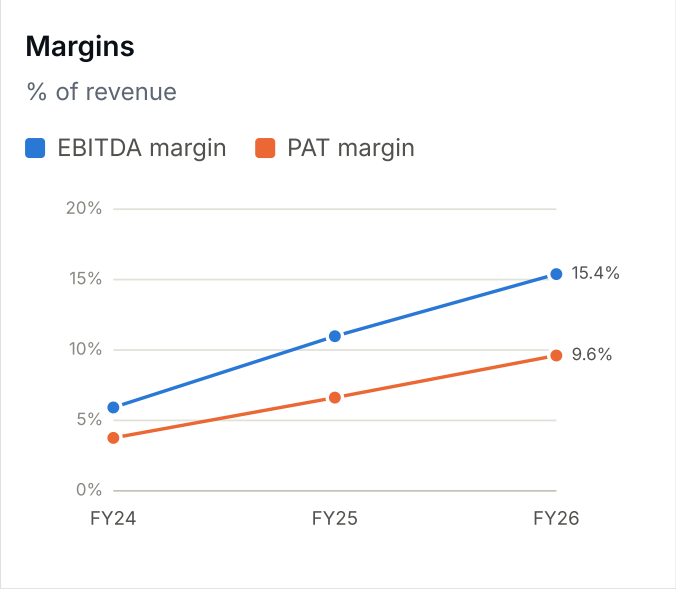
Rs crore

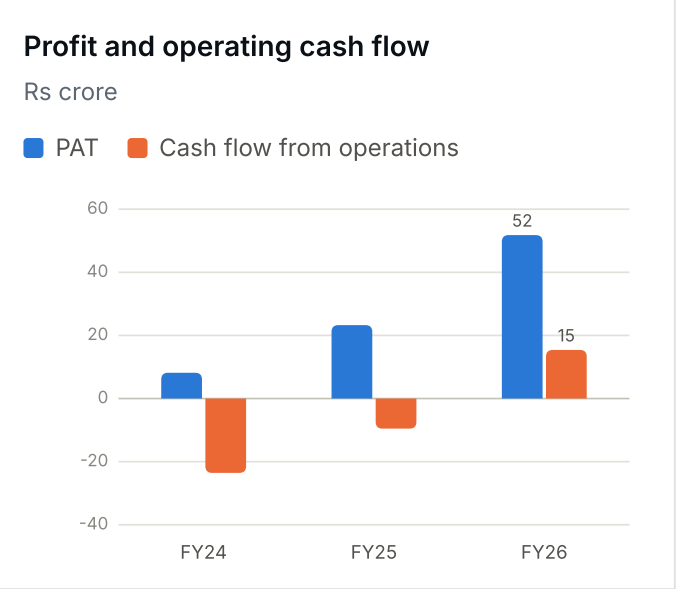


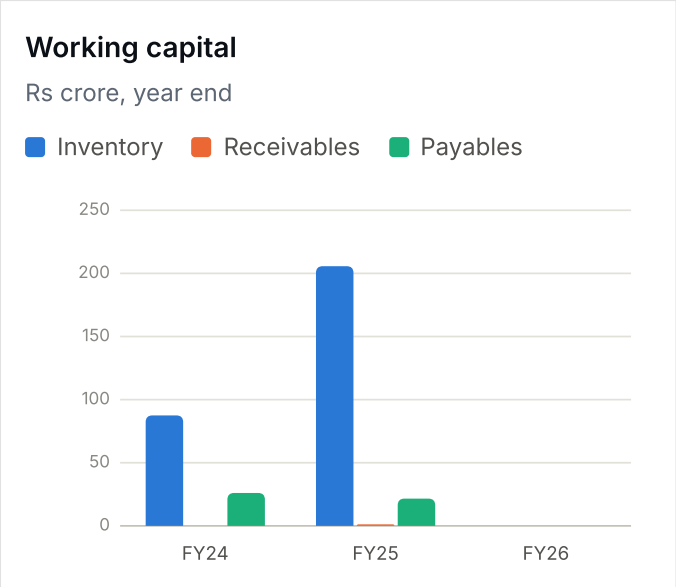
EBITDA and PAT

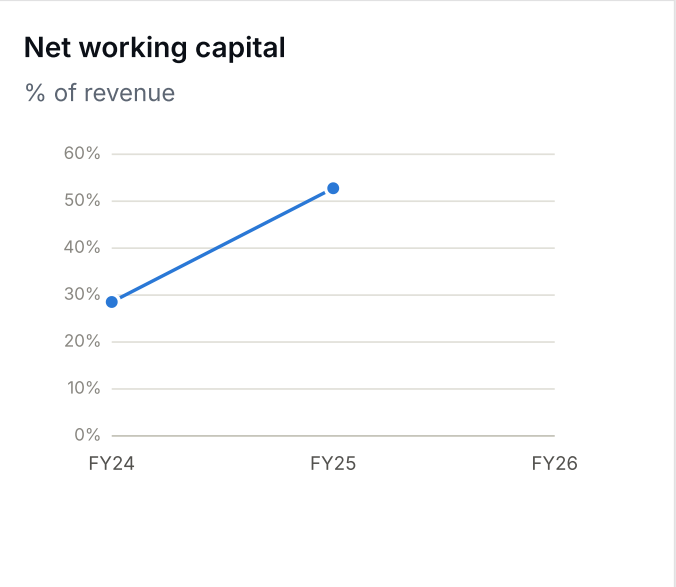
Rs crore











6. Future outlook and projections

Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

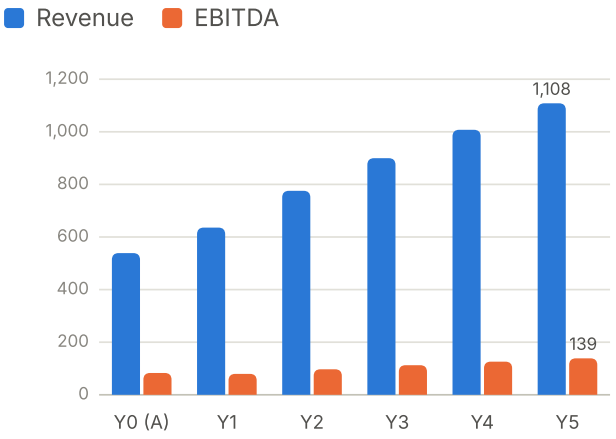
- **Use of the issue:** Rs 151.51 cr of inventory for a new Maharashtra showroom and expansion of the C. G. Road, Ahmedabad showroom in FY27; Rs 30.00 cr to repay borrowings; the rest is GCP (pp. 89-91). Fit-out and lease costs are funded from accruals.
- **What the new inventory can support:** FY26 revenue (Rs 538.73 cr) was about 2.2x the Dec-25 inventory of Rs 240.59 cr, so the added stock can, as it turns, support a large step-up in sales over two to three years.
- **Neutral projection used in the model (Rs crore):**

	FY26 (actual)	Y1	Y2	Y3	Y4	Y5
Revenue growth	53%	18%	22%	16%	12%	10%
Revenue	538.73	635.70	775.56	899.64	1,007.60	1,108.36
EBITDA (12.5%)	82.93	79.46	96.94	112.46	125.95	138.55
Free cash flow to firm	20.3 (est.)	14.4	10.0	27.7	44.0	56.0

Growth absorbs cash because working capital is about 42% of revenue; the issue proceeds fund that build. The Neutral margin (12.5%) sits below FY26's 15.39% because part of FY26 reflects gold-price gains on unhedged stock.

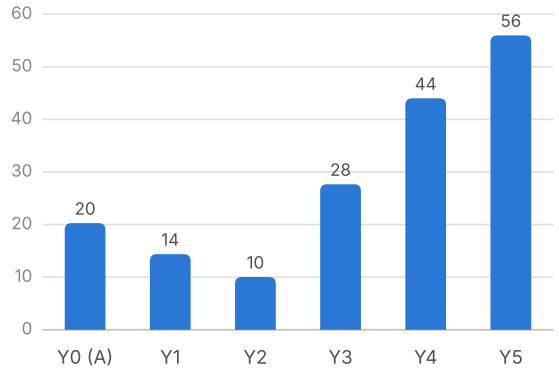
Projected revenue and EBITDA (Neutral)

Rs crore; Y0 is the latest audited year



Projected free cash flow to firm (Neutral)

Rs crore

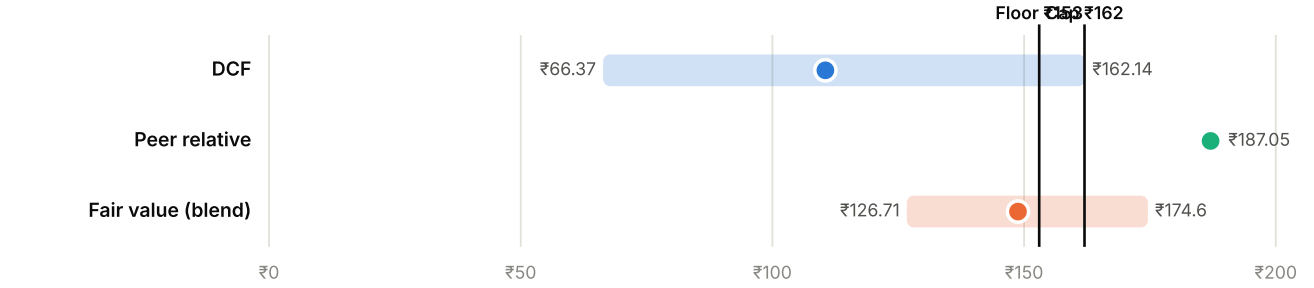


7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Upper band Rs 162 (NSE issue page). At Rs 162: market cap Rs 911.9 cr post-issue; P/E 17.6x on FY26 PAT (13.4x pre-issue on the company's EPS of Rs 12.13); P/B 2.35x post-issue; EV/EBITDA 9.2x FY26. Objects floor Rs 133.46.

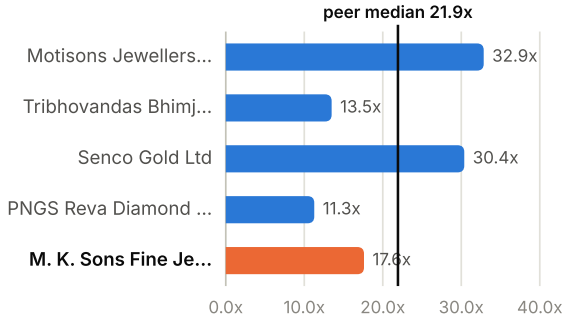
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



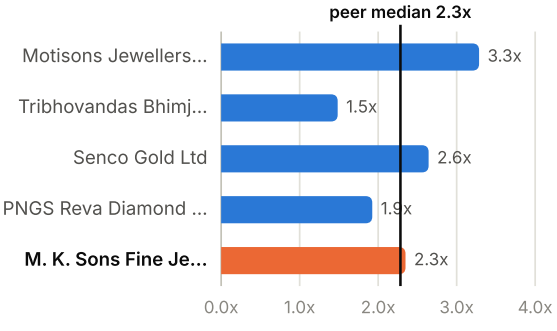
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹66.37	₹187.05	**₹126.71**	-21.8%
Neutral	₹110.52	₹187.05	**₹148.79**	-8.2%
Bull	₹162.14	₹187.05	**₹174.6**	7.8%

WACC **14.5%**

Terminal value share of EV **80.3%**

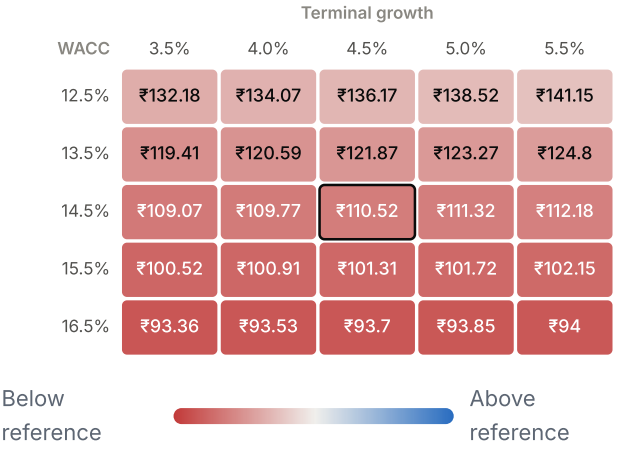
Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	11.5%	4.5%
implied WACC at terminal g	7.3%	14.5%
required EBIT margin (steady state)	25.0%	14.7%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	41.8%

The price asks the business to deliver 37.5 times its current free cash flow, in perpetuity.

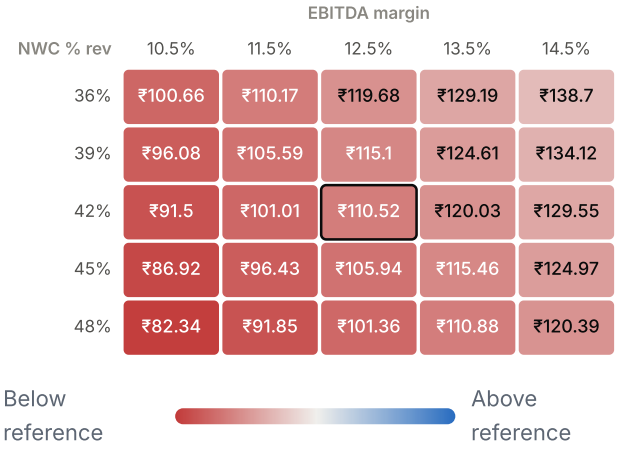
Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.



Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer comparison (P2P)

Peers are those in the DRHP's "Basis for Offer Price" (p. 100): NSE closes on 24-Apr-2026 and FY25 consolidated figures (the RHP will carry updated prices).

Company	CMP (Rs)	Revenue FY25 (Rs cr)	EPS (Rs)	NAV (Rs)	RoNW	P/E	P/B
Motisons Jewellers	13.80	462.11	0.42	4.20	10.43%	32.9x	3.3x
Tribhovandas Bhimji Zaveri	146.18	2,620.48	10.84	98.49	10.86%	13.5x	1.5x
Senco Gold	318.10	6,258.68	10.47	120.37	8.18%	30.4x	2.6x
PNGS Reva Diamond Jewellery	396.90	258.18	35.21	206.19	59.36%	11.3x	1.9x
M. K. Sons at Rs 162 (post-issue, FY26)	162	538.73 (FY26)	9.20	68.99	30.8%	**17.6x**	**2.3x**
Peer median					10.6%	21.9x	2.3x

Read: on FY26 earnings M. K. Sons is priced below the peer median (17.6x against 21.9x) with a higher return on equity, but peer prices are from April 2026 against FY25 earnings, so the comparison is approximate; but it is far smaller, concentrated in two cities and earlier in its life as a combined company. Motisons, the closest regional peer, trades at 32.9x; TBZ, the Mumbai incumbent, at 13.5x.

DCF and fair value

Inputs (FY26 actual, RHP via trackers; Rs crore): revenue 538.73; EBITDA 82.93; PAT 51.79; net worth 168.01; net debt 68.44 (borrowings; Mar-26 leases and cash not available and assumed to offset). **Estimates:** D&A 3.5 and capex 3.0 (9M FY26 run-rate); working capital about 225 (from FY26 CFO; Mar-25 185.34). Fresh issue Rs 220.32 cr (1.36 crore shares) credited in the equity bridge.

Cost of capital (house CAPM, editable): risk-free 6.5%, beta 1.10, ERP 7.0%, size premium 2.0%, no company-specific premium; cost of equity 16.2%; pre-tax cost of debt 10.0%; debt weight 20%; **WACC 14.46%**; terminal growth 4.50%; terminal ROIC 16%. Terminal value is 80% of enterprise value (the DCF leans on the terminal year because growth absorbs working capital in the explicit years).

Rs per share	Bear	Neutral	Bull
DCF	66.37	110.52	162.14
Relative (peer-median P/E and P/B)	187.05	187.05	187.05
Fair value (50:50 blend)	**126.71**	**148.79**	**174.60**
Against Rs 162 (upper band)	-21.8%	-8.2%	+7.8%
Against Rs 153 (floor)	-17.2%	-2.7%	+14.1%

Before the 29-Oct update (DRHP, 9M FY26 annualised) these were Rs 103 / 120 / 141.

- **Scenario drivers:** growth 6-10% / 10-22% / 12-28% a year; EBITDA margin 9.5% / 12.5% / 15%; working capital 47% / 42% / 38% of revenue; terminal ROIC 12% / 16% / 20%. Rationale and page cites are in the valuation workbook.
- **Why DCF and peers diverge (-41%):** jewellery retail ties up about 42 paise of working capital per rupee of sales, so most of the profit is reinvested in stock and free cash flow stays thin; listed peers trade on earnings multiples that look past this.
- **Sensitivity (Neutral DCF):** WACC 12.4-16.4% gives Rs 136-94; working capital 36-48% of revenue gives Rs 120-101.

- **Objects floor:** Rs 133.46 a share (Rs 181.51 cr of objects over 1.36 crore fresh shares) sits below the blended Neutral value and below the band; it is mostly inventory, which keeps its value.
- **Reverse DCF at Rs 162:** the price asks the business to deliver 37.5 times its current free cash flow in perpetuity. **In plain words: the price assumes the new showrooms turn their stock quickly and that margins hold near today's gold-price-assisted levels.**

8. Areas to watch and growth drivers

Growth drivers to track

- **New showrooms:** opening of the Maharashtra showroom and the expanded Ahmedabad store in FY27, and their sales per sq ft (p. 91).
- **Inventory turns:** revenue/inventory back above 2x; inventory days below 180.
- **Margin:** EBITDA margin above 11% if gold prices stabilise (p. 101).
- **Mix:** diamond and studded jewellery share (p. 157).
- **Cash flow:** operating cash flow positive in a growth year.

Points to monitor

Item	Now	Why it matters to an investor
Gold-price exposure	Inventory Rs 240.59 cr, no hedging disclosed (p. 226)	A gold fall hits margins and stock value
Geographic concentration	Ahmedabad 62.40% of revenue (p. 23)	One market drives results
Related parties	Rent and loans from the promoter; FY25 purchases from his proprietorship (p. 64)	Arm's-length terms
RHP detail	FY26 working capital, cash, receivables; Q1 FY27	FY26 headline figures from trackers; detail estimated
Governance	Board reconstituted in FY26 (pp. 65-66)	Oversight as a listed company

What would change our view

- **Towards Neutral:** RHP detail showing working capital well above the estimate (for example receivables building, as one tracker flags at Jun-26), or a weak Q1 FY27; the call is close to the line.
- **Towards Avoid:** a weaker gold-price environment compressing margins, or slow sales at the new showrooms.
- **Price:** the call rule reads Subscribe at or below about Rs 165 (the whole band) and Neutral above it.

Risks

- Gold-price volatility (p. 143 onwards).
- Regional concentration and competition from national chains (pp. 23, 100).
- Inventory build and working-capital needs (p. 21).
- Seasonality (p. 22).
- Execution of the new showrooms (p. 21).

9. Conclusion

CALL

Subscribe

STAGE

Mainboard · RHP

A fast-growing Mumbai-Ahmedabad jewellery retailer (5 showrooms; FY26 revenue Rs 539 cr, PAT Rs 51.8 cr, 15% EBITDA margin) raising Rs 220 cr of fresh money to stock new showrooms, priced at 17.6x FY26 earnings against a 22x peer median; fair value Rs 149 (Subscribe, close to the line) because inventory-heavy growth still leaves thin free cash flow.

Business stage Early scaling (5 showrooms, expanding with issue-funded inventory)

Subscribe at Rs 162 (upper band), close to the line. (Updated 29-Oct-2026 from Neutral, on FY26 results in the RHP.)

The investment case. A fast-growing regional jeweller with five showrooms in Mumbai and Ahmedabad, FY26 revenue of Rs 538.73 cr (+53%), a 15.4% EBITDA margin and PAT of Rs 51.79 cr. The issue is mostly fresh money (Rs 220 cr) to stock a new Maharashtra showroom, expand in Ahmedabad and repay some debt, which leaves the balance sheet strong. At 17.6x FY26 earnings after the issue (13.4x on the company's own EPS) the price is below listed jewellery retailers (median 21.9x), and the reported P/E is a fair measure.

What holds the value down. Inventory-heavy growth means little free cash flow (FY26 CFO Rs 15.40 cr against PAT Rs 51.79 cr), the business has a short history as a combined entity, two-thirds of sales come from Ahmedabad, and part of the recent margin expansion likely reflects rising gold prices.

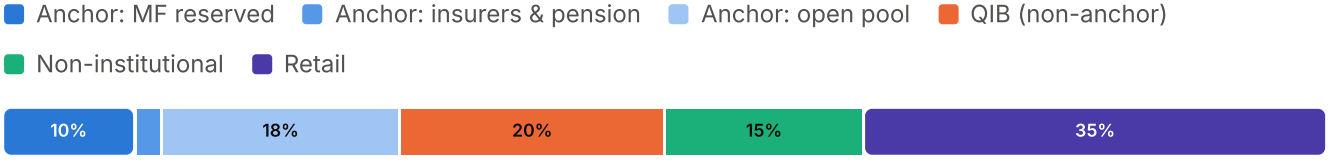
Valuation. Fair value Rs 127 / **Rs 149** / Rs 175 (Bear / Neutral / Bull). **Call rule:** the Neutral value is 8.2% below the upper band (within 10%), so the call is **Subscribe**; at the Rs 153 floor it is 2.7% below. No material issue was found. The margin of safety is thin: the call rests on FY26 figures reproduced by trackers and on an estimate of FY26 working capital, and it would move to Neutral if working capital proves materially higher.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 275 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	25.5	30
Anchor - tranche 2	25.5	90
Promoter holding above 20% of post-issue capital (after OFS)	280.33	180
Promoters' minimum contribution (20% of post-issue capital)	112.58	540

Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✓ PASS	Bonus issues of 2:1 (16-May-2025) and 2:3 (Dec-2025) are reflected: EPS 0.60 / 3.63 / 10.26 FY23-25 and 6.83 for 9M FY26 are on the 4,26,90,760 post-bonus shares.	pp. 73-76, 98
2	Cash flow vs profit	! WATCH	Operating cash flow Rs -23.56 / -9.53 cr FY24-25 (DRHP p. 228) and +Rs 15.40 cr in FY26 (RHP via trackers) against PAT Rs 8.17 / 23.26 / 51.79 cr; one tracker reports Q1 FY27 CFO about Rs -2.84 cr (single source). Typical for a jewellery retailer stocking new showrooms; most profit is reinvested in inventory.	p. 228
3	Current vs deferred tax	✓ PASS	Current tax about 27% of PBT each year; income tax paid Rs 12.46 cr over FY23-9M FY26.	p. 227
4	Related-party capex & subsidiaries	! WATCH	Until 29-Mar-2025 the promoter ran a parallel proprietorship (M. K. Sons Jewellers), from which the company bought Rs 21.52 cr of goods in FY25; it was then merged in for 40,38,152 shares at Rs 176 (Rs 71.07 cr). Promoter loans (Rs 1.52 cr outstanding Dec-25) and showroom rent to the promoter (Rs 1.23 cr in 9M FY26) continue. Disclosed; the merger removes the overlap.	pp. 64, 189
5	Objects arithmetic as price floor	✓ PASS	Objects Rs 181.51 cr (showroom inventory Rs 151.51 cr + debt repayment Rs 30.00 cr) over 1.36 crore fresh shares = Rs 133.46 a share before GCP and expenses, below the Rs 153 floor.	pp. 89-91
6	Revaluation reserve	○ OPEN		
7	Goodwill vs tangible equity	✓ PASS	No goodwill; intangibles negligible (Rs 0.05 cr).	p. 226
8	Customer / supplier / geographic concentration	! WATCH	Five leased showrooms (3 Mumbai, 2 Ahmedabad; 6,513 sq ft); the two Ahmedabad showrooms gave 62.40% of 9M FY26 revenue. Finished jewellery is bought from third-party vendors in Maharashtra and Gujarat without long-term contracts.	pp. 21, 23, 91
9	Contingent liabilities	✓ PASS	Contingent liabilities Rs 4.995 cr of income-tax demands (3.4% of Dec-25 net worth); no criminal or regulatory cases.	p. 63
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	✓ PASS	Paresh Rakesh & Associates LLP; FY23-25 restated from special-purpose Ind AS statements prepared from Indian GAAP books.	p. 18
R2	CARO / audit trail	○ OPEN		
R3	Monitoring agency	✓ PASS	Fresh issue about Rs 220 cr at the upper band: monitoring agency mandatory; to be named in the RHP.	p. 89
R4	Eligibility re-computation	○ OPEN		
R5	SME conditions	– N.A.	Mainboard issue under Reg 6(1).	cover

#	CHECK	RESULT	FINDING	PAGE
R6	Lead-manager track record	○ OPEN	Aryaman Financial Services (sole BRLM): track record not compiled in this run.	
R7	Firm means of finance	○ OPEN		

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Structure:** fresh issue 1.36 crore shares (Rs 220.32 cr at Rs 162) + OFS 34 lakh shares by Ramchand Raimalani (Rs 55.08 cr); QIB up to 50% (anchor up to 60% of that), NII at least 15%, retail at least 35% (NSE issue page; cover).
- **Objects:** showroom inventory Rs 151.51 cr; debt repayment Rs 30.00 cr; GCP up to 25% of gross proceeds (pp. 89-91).
- **Anchor book:** anchor bidding one working day before opening (27-Oct-2026). The allocation report is on an NSE archive host this environment cannot reach.
- **Lock-ins:** promoters' minimum contribution (20% of post-issue capital, about 112.58 lakh shares) for 18 months; the rest of the promoter holding (about 280.33 lakh shares) for six months (p. 84); anchor shares 50% for 30 days and 50% for 90 days.

Appendix B: Merchant bankers

Aryaman Financial Services Limited (sole BRLM). Its track record of past issues is not compiled in this run.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Bonus issues and share count	PASS	Two bonus issues in 2025 reflected in EPS (pp. 73-76)
2	Cash flow vs PAT	WATCH	Negative CFO FY23-25 from inventory build; 9M FY26 positive (p. 228)
3	Current vs deferred tax	PASS	Current tax about 27% of PBT (p. 227)
4	Related-party dealings	WATCH	Pre-merger purchases from the promoter's proprietorship; rent and loans (p. 64)
5	Objects as price floor	PASS	Rs 133.46, below the band (p. 91)
7	Goodwill	PASS	None (p. 226)
8	Concentration	WATCH	Ahmedabad 62.40% of revenue (p. 23)
9	Contingent liabilities	PASS	Rs 4.995 cr tax demands (p. 63)
R1	Auditor	PASS	No qualifications (p. 18)
R3	Monitoring agency	PASS	Required; to be named in the RHP
R6	BRLM track record	OPEN	Not compiled

No check met the Fund's test for a material issue.

Appendix D: Data gaps and verification

Data gaps

Item	Severity	Where to source
RHP not obtainable; FY26 headline figures from trackers, FY26 working capital / cash / D&A estimated	High	RHP (NSE / SEBI)
Pre-IPO placement (up to 20 lakh shares) made or not	Medium	RHP capital structure
Allotment and listing dates; anchor book	Medium	RHP / exchange filing
Gold-price gains within gross margin; hedging policy	Medium	RHP MD&A
Q1 FY27 (Jun-26) results; receivables Rs 31.83 cr flagged by one tracker	Medium	RHP
Aryaman Financial Services track record	Low	RHP

Verification

- **Restated P&L reproduces:** 9M FY26 total income Rs 360.85 cr less expenses Rs 320.90 cr = PBT Rs 39.95 cr; less tax Rs 10.78 cr = PAT Rs 29.17 cr (p. 227).
- **Balance sheet balances:** Dec-25 total assets Rs 280.42 cr = equity Rs 145.42 cr + non-current liabilities Rs 24.65 cr + current liabilities Rs 110.36 cr (p. 226).
- **Cash flow:** 9M FY26 operating, investing and financing (+18.01, -2.14, -4.86) sum to the +11.01 change in cash (p. 228).
- **EBITDA reproduces the KPI table:** PBT 39.95 + finance cost 5.71 + D&A 2.57 - other income 0.02 = Rs 48.19 cr (p. 101).
- **FY26 figures reconcile:** PAT Rs 51.79 cr / diluted EPS Rs 12.13 = 4.27 crore shares, the pre-issue count; PAT margin 9.61% = 51.79 / 538.73; debt/equity 0.41x = 68.44 / 168.01.
- **Workbooks:** the toolkit verification gate passed on this build.

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